

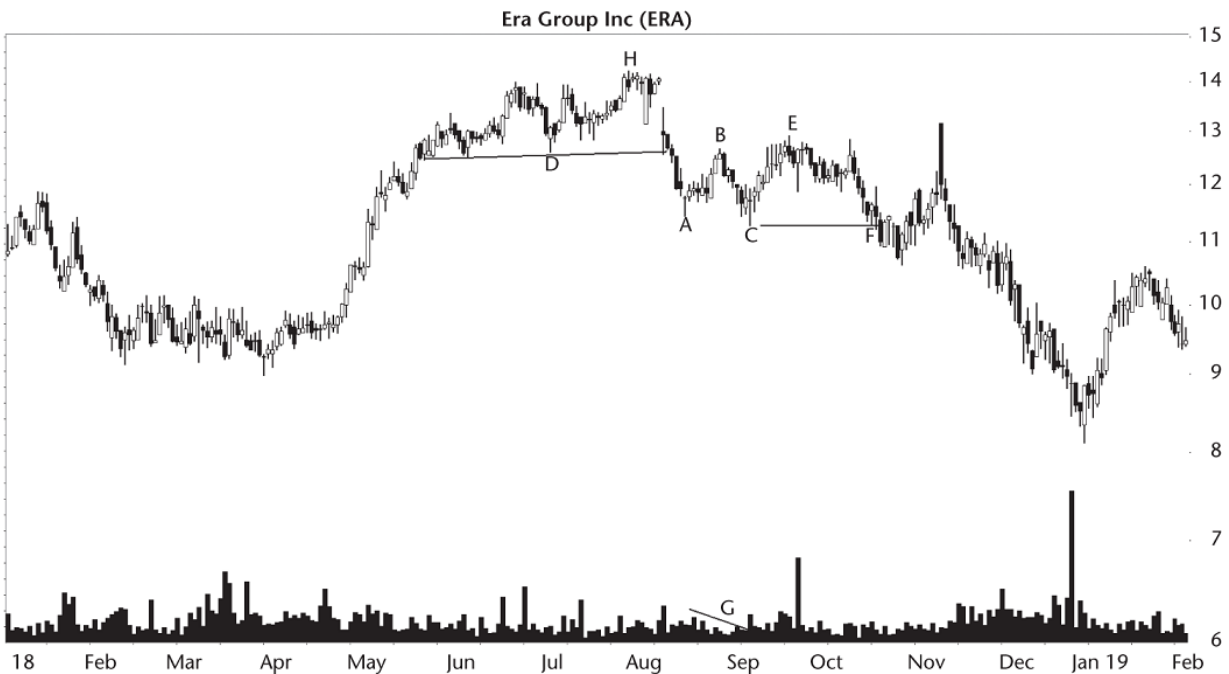


Figure 7.4 John decided not to trade this big W because of overhead resistance.

Want to know if the big W is tall? Take the height (1.39) and divide it by the breakout price (12.66) to get $1.39/12.66 \times 100$ or 11.0%. [Table 7.5](#) says that a tall pattern needs to have a value above the median 11.9%, so this pattern is short. That suggests underperformance.

The launch price is at H, where the downtrend begins. H could be a post-breakout target, but as you can see, the stock didn't climb that far.

Volume trends downward (G), so that's good for performance (from [Table 7.6](#)). It may be difficult to tell from the chart, but the left bottom has volume of 492 shares and the right bottom has volume of 791. In other words, the right has higher volume and that's good for performance (from [Tables 7.10](#) and [7.11](#)).

The pattern is short (bad), volume trends downward (good), and the right bottom has higher volume than the left (good). This seems to suggest a better performing big W. Of the three measures, the height is the most important and it was bad. That's not a good omen.

How did John trade the stock? “I didn't.”

“Why not?”